



INDEPENDENT BUYOUT (IBO) INVESTMENT ADVISING

INDEPENDENT BUYOUT (IBO) INTRODUCTION, STRUCTURING & ANALYSIS

This presentation is strictly private and confidential; it is being furnished to you solely for your review and may not be reproduced or distributed in whole or in part to any person, nor the information herein utilized for any purpose, directly or indirectly, without prior written permission.

IBO Advisors and our partners and affiliates have not had an opportunity to conduct our own due diligence and relied entirely on information provided to it by the Company. This analysis is highly preliminary and is provided for discussion purposes only.



Liquidity Options for Owners & Founders

Liquidity & Exit Alternatives

1



**Sell to Private
Equity (LBO)**

2



**Sell to a
Competitor**

3



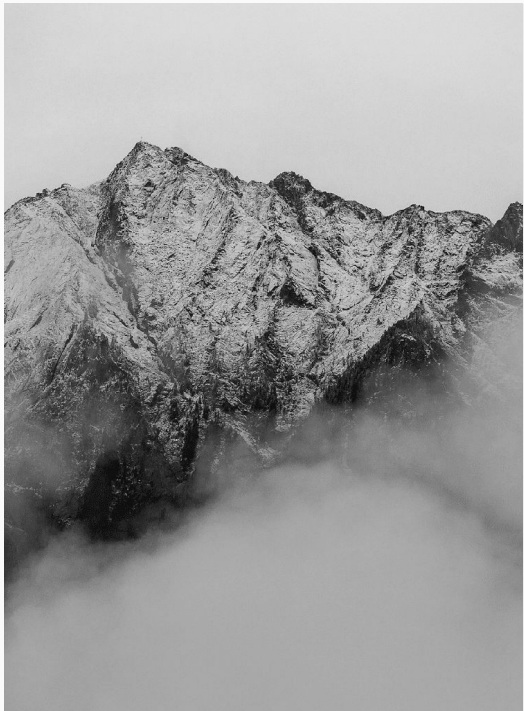
**Go Public
(IPO)**

4



**Independent
Buyout (IBO)**

Typical Private Equity Sale Considerations



Debt Financing

Private Equity (PE) finances the acquisition by **placing debt on the business**.

Equity Rollover

Sellers often **roll over 20-30% equity**, typically paid out five to eight years later.

Earn-Out Structure

Purchase price is often not fully upfront; a portion is an **earn-out** tied to future performance.

Performance Risk

Covenants and **performance targets create risk**, potentially eliminating future payments or putting the company at risk.

Loss of Control

With a majority investment PE controls the board. **Even with only a minority investment the PE firm will require approval of future financing and sales.**

What is an Independent Buyout (IBO)



Introducing an Independent Buyout (IBO)

Instead of selling your company to a Private Equity firm – which would lever the business with debt to buy out your shares – we execute the same type of transaction **without Private Equity**.

This structure is called an **Independent Buyout (IBO)**:

1. Trust Structure

A specialized trust to purchase business shares.

2. Commercial Financing

Funding the purchase from selling shareholders.

3. No seller tax

Section 1042 rollover to eliminate seller taxes.

4. Eliminate Corp Income Tax

Doing away with the companies corporate income taxes

5. Seller Warrants

So owners can continue participating in future company upside.

6. Retained Control

Leadership and culture remain fully intact.

An IBO allows you to buy out some or all of your ownership – creating a **tax-free leveraged buyout of your own company**.

And since it isn't Private Equity you preserve **culture, control and long-term upside**.



1. Setting up the Trust – Background and Context



Established By Congress

In 1974, Congress enabled businesses the ability to set up a Trust that can hold company stock on behalf of the employees.

The Trust can also borrow money against the business – just like Private Equity would – to purchase your shares of stock.



The Goal

Congress intentionally designed this to:

- Preserve jobs and domestic companies
- Support founder succession without Private Equity
- Encourage employee ownership

To achieve these goals, Congress provides substantial tax advantages to both selling shareholders and the company.



What is an ESOP

This trust is called an ESOP (Employee Stock Ownership Plan).

An ESOP is not employees “owning the company” directly. It is a regulated, tax-qualified retirement plan that is specifically permitted to invest in its own company’s stock and to use leverage to do so.

And because the ESOP is a tax-exempt retirement trust, a 100% ESOP-owned corporation pays no income tax.

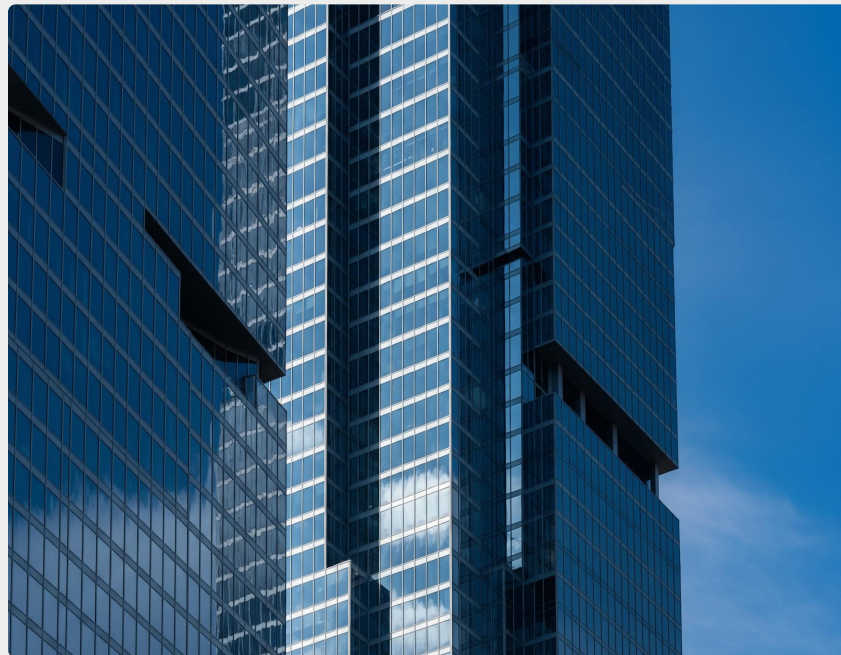
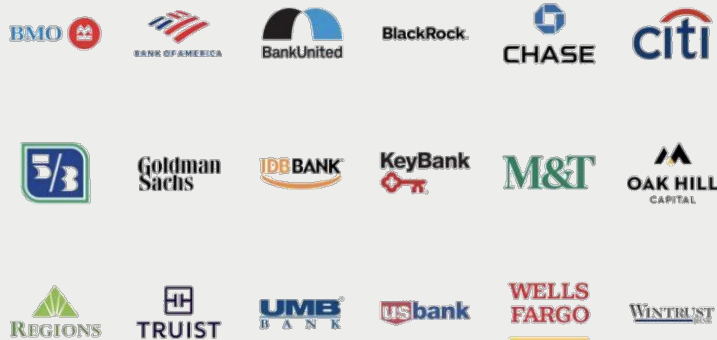


2. Securing Commercial Financing

Raising Capital

We begin by conducting a comprehensive valuation analysis to determine the company's Fair Market Value.

Next, we assess commercial debt supportable through an ESOP structure to purchase your shares.



3. Selling Shareholders Can Eliminate Capital Gains Tax



Eliminate or Defer Taxes

Selling shareholders can defer or even eliminate capital gains taxes entirely by using a **\$1042 Rollover**.



The \$1042 Rollover

Sale proceeds are reinvested within 12 months into **Qualified Replacement Property (QRP)** – deferring capital gains tax.



Use of Leverage

QRP investments can be made with leverage (typically 25% down), allowing sellers to retain most of their sale proceeds.



Permanent Step-Up in Basis

If held until death, heirs receive a step-up in basis, permanently erasing the deferred gain.



4. The Company Can Operate Tax Free



Full Deduction Benefit

Unlike traditional acquisitions, ESOP transactions allow the company to deduct the entire purchase price of the company.

Paying with pre-tax dollars effectively doubles after-tax cash flow, enabling faster debt repayment and reinvestment in growth.

These tax advantages make it more attractive for lenders to fund the transaction on behalf of the ESOP.



100% ESOP Owned S-Corps Pay no Taxes

Once the company is 100% owned by the ESOP, the company runs completely income tax free.

Zero Federal Income Tax.

Zero State Income Tax.

Forever.

5. Participating in Upside with Warrants



Warrants for Growth Participation

Warrants issued at today's value allow sellers to share in future company growth – without additional investment – creating a potential larger future payday.



6. Management Maintains Company Leadership



Leadership Control

The company continues to be run by its existing leadership team, without an outside strategic buyer or Private Equity influence.

Current owners may continue in management if they choose, or transition responsibilities to the existing management team.



Board Autonomy

The existing Board remains intact. The current Board selects one or more independent directors, as appropriate, without shifting governance or control.



AND it Empowers Employees

Employee Ownership

Employees accumulate equity over time, tying their financial success to company performance.

Higher Retention

ESOP companies report employee retention rates approximately **300% higher** than non-ESOP peers.



Allocation & Vesting

Shares are allocated to employee ESOP accounts over time, based on salary. Vesting is a separate schedule that governs when employees earn rights to those allocations, commonly reaching full vesting over several years.

Repurchased Shares

Departing employees' shares are repurchased and either recycled within the ESOP or redeemed by the company.

Independent Buyout (IBO) Example

Liquidity Options

Minority Sale: Sell 30%-49%

- Sell a piece of the company but maintain control
- Company can deduct full purchase price (principal + interest)
- Owners can eliminate or defer capital gains tax on sale

Majority Sale: Sell 100%

- Option to stay running the company
- Company can deduct full purchase price (principal + interest)
- Owners can eliminate or defer capital gains tax on sale
- Can receive warrants to participate in future value creation
- Company will run completely tax free forever (state & federal)

Example Company Financials

		<i>C-Corp</i>	<i>C-Corp</i>	<i>C-Corp</i>	<i>C-Corp</i>	<i>C-Corp</i>	<i>S-Corp</i>	<i>S-Corp</i>	<i>S-Corp</i>
(in \$000s)	2025	2026	2027	2028	2029	2030	2031	2032	2033
Revenue	22,727	25,000	27,500	30,250	33,275	36,603	40,263	44,289	48,718
Growth %	10%	10%	10%	10%	10%	10%	10%	10%	10%
EBITDA	4,545	5,000	5,500	6,050	6,655	7,321	8,053	8,858	9,744
EBITDA Margin %	20%	20%	20%	20%	20%	20%	20%	20%	20%
EBITDA		5,000	5,500	6,050	6,655	7,321	8,053	8,858	9,744
Exit Multiple		10.0x	10.0x	10.0x	10.0x	10.0x	10.0x	10.0x	10.0x
Enterprise Value		50,000	55,000	60,500	66,550	73,205	80,526	88,578	97,436

35% Minority Sale

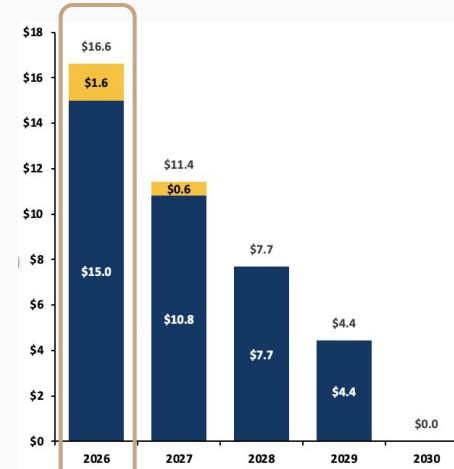
Minority Sale: Sell 35% Equity

Shareholders

- Company is valued at \$50MM
- Sell 35% equity to ESOP for **\$16.6MM**
 - \$15MM cash at closing
 - \$1.6MM in seller notes
- Can eliminate capital gains taxes with a 1042 rollover

Company

- Receives tax deductions of \$16.6MM



(in \$000s)	2025	2026	2027	2028	2029	2030
Cash to Shareholders		\$15,032	\$1,062	\$619		

(in \$000s)	2025	2026	2027	2028	2029	2030
Revenue	\$22,727	\$25,000	\$27,500	\$30,250	\$33,275	\$36,603
EBITDA	\$4,545	\$5,000	\$5,500	\$6,050	\$6,655	\$7,321
Valuation Multiple		10.0x	10.0x	10.0x	10.0x	10.0x
Enterprise Value		\$50,000	\$55,000	\$60,500	\$66,550	\$73,205

Bank Debt - Term Loan	2026	2027	2028	2029	2030
Beginning Balance	\$0.0	\$16.6	\$11.4	\$7.7	\$4.4
Bank Borrowing	\$15.0	\$0.0	\$0.0	\$0.0	\$0.0
Seller Note Financing	\$1.6	\$0.0	\$0.0	\$0.0	\$0.0
Repayments	\$0.0	(\$5.2)	(\$3.7)	(\$3.3)	(\$4.4)
Total		\$16.6	\$11.4	\$4.4	\$0.0

100% Majority Sale

Recommended Phases

Phase I (Day 1):

- ▶ Members sell 35% of shares.

Phase II (in 3 Years):

- ▶ Members sell 35% of shares AND exchange remaining 30% equity for 45% warrants

Phase III (in 7 Years or Later):

- ▶ Members exercise their 45% warrants

Majority Sale Phase I: Sell 35% Equity

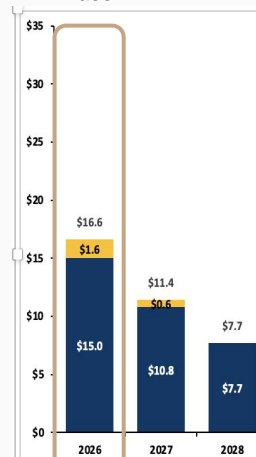
Shareholders

- Company is valued at \$50MM
- Sell 35% equity to ESOP for **\$16.6MM**
 - \$15MM cash at closing
 - \$1.6MM in seller notes
- Can eliminate capital gains taxes with a 1042 rollover

Company

- Receives tax deductions of \$16.6MM

Phase I



(in \$000s)	2025	2026	2027	2028
Cash to Shareholders		\$15,032	\$1,062	\$619

(in \$000s)	2025	2026	2027	2028
Revenue	\$22,727	\$25,000	\$27,500	\$30,250
EBITDA	\$4,545	\$5,000	\$5,500	\$6,050
Valuation Multiple		10.0x	10.0x	10.0x
Enterprise Value		\$50,000	\$55,000	\$60,500

Bank Debt - Term Loan	2026	2027	2028
Beginning Balance	\$0.0	\$16.6	\$11.4
Bank Borrowing	\$15.0	\$0.0	\$0.0
Seller Note Financing	\$1.6	\$0.0	\$0.0
Repayments	\$0.0	(\$5.2)	(\$3.7)
Total	\$16.6	\$11.4	\$7.7

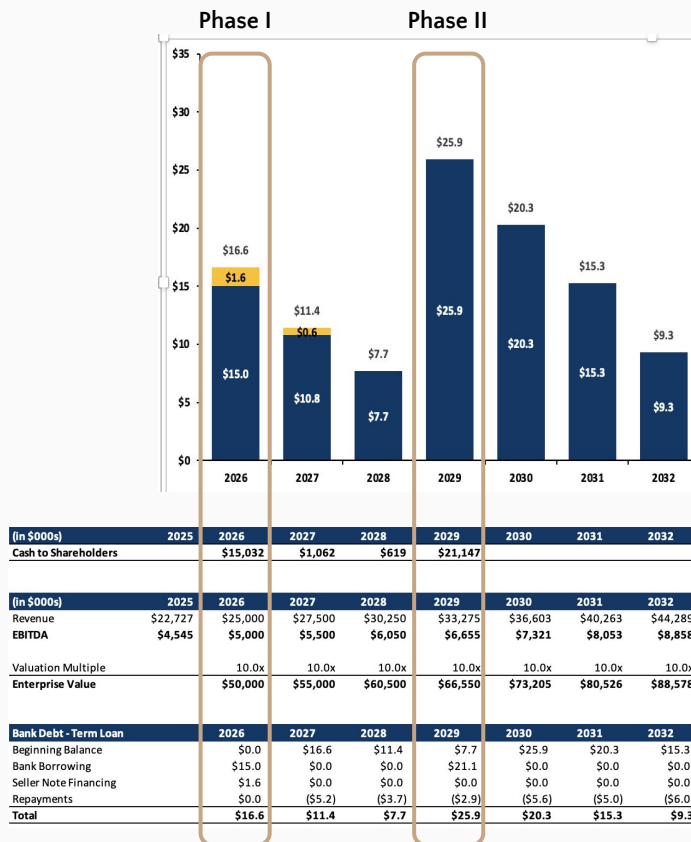
Majority Sale Phase II: 35% Equity Sale and 30% Exchanged for 45% Warrants

Shareholders

- Company is valued at **\$66MM**
- Sell 35% equity to ESOP for **\$21.47MM**
- Can eliminate capital gains taxes with a 1042 rollover
- With remaining 30% Equity Ownership exchange for 45% in Warrants to make the company fully owned by the Trust and a tax-free entity

Company

- Becomes a S-Corp
- Operates as a Tax Free Entity going forward



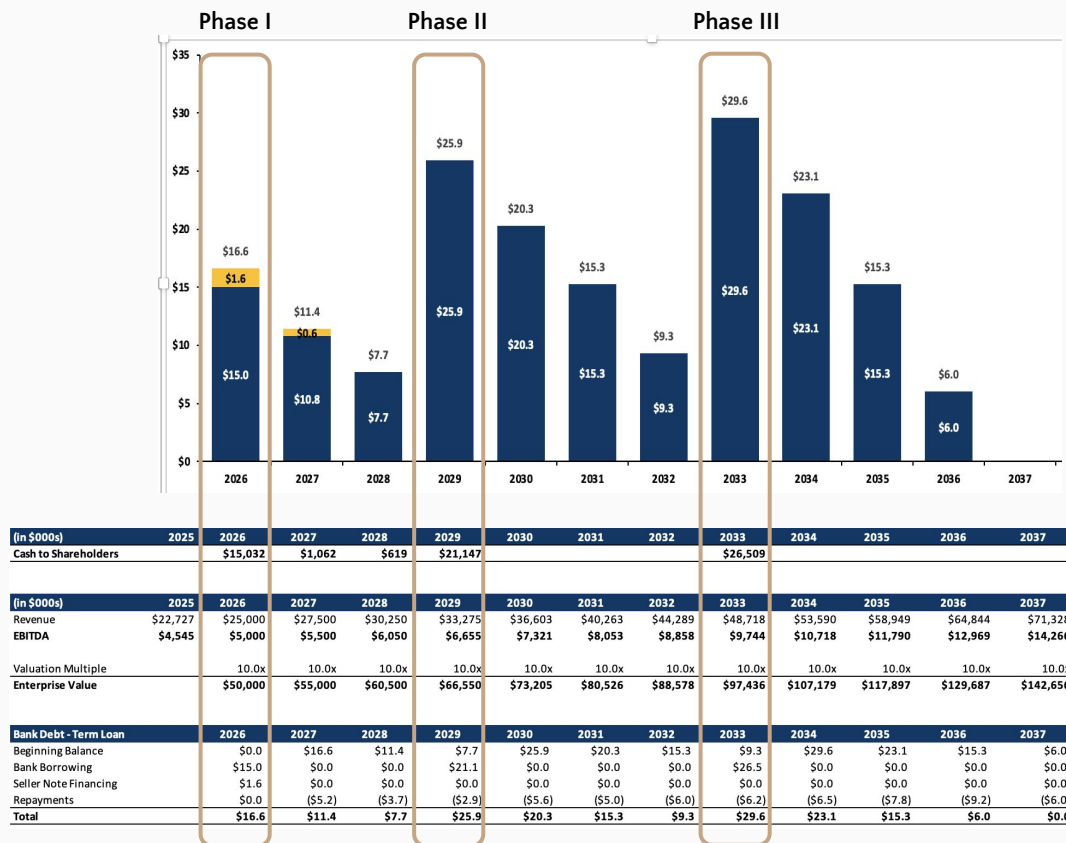
Majority Sale Phase III: Exercise & Sell 45% Warrants

Shareholders

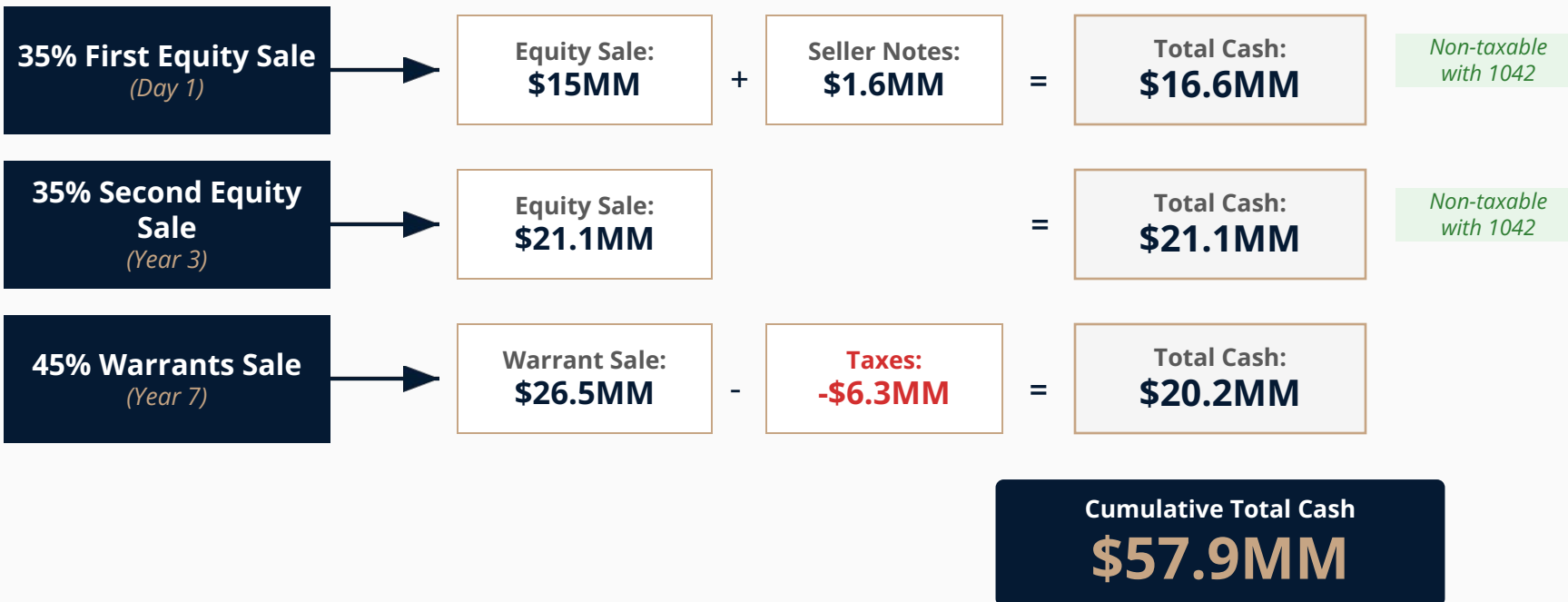
- Company valued at **\$97MM**
- Exercise & sell 45% warrants for **\$26.5MM**
 - **\$20.2MM** after-tax cash at closing
- Warrants can be held longer as cash accumulates in company tax free increasing warrant payout

Company

- Continues to operate as an income tax-free entity



Deal Value



Deal Value

Private Equity Sale

Total Company Value
\$50.0MM

Taxes
-\$12.5MM

Warrants &
Tax Benefits
\$0.0MM

NET CASH PROCEEDS
\$37.5MM

IBO Sale

Total Company Value
\$50.0MM

Taxes
\$0.0MM

Warrants &
Tax Benefits
+\$7.9MM

NET CASH PROCEEDS
\$57.9MM

Setting up an Independent Buyout (IBO)

Who Qualifies?

Primarily Targeted Towards

Establishing the ideal profile for an Independent Buyout (IBO) candidate.



US-based



Privately held

12+

Employees

\$3m+

in EBITDA

Across All Markets

APPAREL & GOODS



nicole miller

CONSTRUCTION



FINANCIAL SERVICES



GOVERNMENT CONTRACTORS



HEALTHCARE



HUNTER'S
AMBULANCE

HOSPITALITY & RETAIL



MANUFACTURING



PROFESSIONAL SERVICES

DONEGER | TOBE



STAFFING & RECRUITING



TRANSPORTATION



Private Equity vs IBO

	Private Equity (PE)	vs	Independent Buyout (IBO)
Sale Proceeds	A \$50M sale will net about \$37.5M after taxes.	vs	A \$50M sale can net \$50M tax free. With warrants and upside company value could produce over \$63.7M+ after tax.
Upside	Seller typically gives up future upside after closing.	vs	Seller can retain upside through staged sales, appreciation, and warrants.
Timing	Often requires rollover equity, earn-outs, and a second sale 5–8+ years later.	vs	Can be structured in stages with no earn-out and continued participation in growth.
Risk	Missed covenants or targets can reduce payout or wipe out rollover equity.	vs	No PE earn-out risk and less risk of losing control.
Debt Treatment	Debt is placed on the company; only interest is typically deductible.	vs	ESOP debt can allow deductions for both principal and interest .
Control	PE usually controls the board or takes veto rights on future financing and sale of company.	vs	Owner can maintain control. Minority IBO does not require new board control.
Culture	PE prioritizes near-term financial returns.	vs	Owner can protect employees, clients, and long-term company value.

The IBO Team

Top ESOP Firm



The largest ESOP Investment Banking Practice in the Nation.

30+ Professionals in NY, DC, and SF.
Founded in 2000

Leading Financial Institutions



Trusted Real Estate Partners



Our team has worked with over 400 companies to setup this type of program.

- Over 25 years of experience with this type of transaction
- Over \$27b in enterprise value
- Structured over \$7b in debt and payouts

IBOAdvisors

INDEPENDENT BUYOUT (IBO) INVESTMENT ADVISING

Michael Chasen
Managing Partner
IBO Advisors

202-255-7241

michael@IBOAdvisors.com

